Parshwanath Capital Ventures Fund
SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108
Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT · DRHP

Sai Infinium Limited

Mainboard · Steel (MS billets, TMT bars, structural steel), with ship recycling, scrap trading and real estate · filed 2026-10-01 · lead manager(s): Fedex Securities · issue size Rs 280 cr · price band: Not announced · analysed 2026-10-23

CALL

Screen only

BUSINESS STAGE

–

PAT rose from Rs 61.4 m to Rs 823.8 m and EBITDA margin from 5.9% to 18.6% over FY24-FY26, but manufactured-goods revenue grew only 4.7% in FY26 (the rest is scrap and raw-material sales), group entities are about a quarter of sales and over a third of purchases, and the Rs 90 reference is 32x FY26 EPS against a steel-peer median of 13.9x, so the RHP price band and an explanation of FY26's margin decide the case.

Revenue FY26 **₹689 cr** CAGR FY24-FY26: **21.3%**	PAT FY26 **₹82 cr** CAGR FY24-FY26: **266.4%**	EBITDA margin **18.6%** FY24: **5.9%**	Cash conversion (CFO / PAT, 3 yrs) **29.0%**
Cash tax rate (3 yrs) **21.6%**	P/E at reference (post-issue) **36.0x** peer median: **13.9x**	Adjusted P/E (earnings quality) **36.2x** reported: **36.0x**	Blended value (Neutral) **₹17.26** vs reference: **-80.8%**

Reference price

₹90

Rs 90 = the issue price of the five cash private placements of 17-Dec-2025 to 23-Mar-2026 (Rs 2 shares), the DRHP's weighted average cost of its latest primary issues (pp. 186-189). It is a reference to size the model, not a price band and not a view of the right price. Secondary transfers in the same window were at Rs 15 to Rs 30 and 19.46 m shares moved by gift at nil; the Sep-Dec 2024 rounds were at Rs 30 per Rs 2 share (p. 443).

Report structure

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For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

At a glance

The call, the key numbers and the basis of the analysis.

CALL

Screen only

STAGE

Mainboard · DRHP

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Basis. Draft Red Herring Prospectus dated 24-Sep-2026 (SEBI listing of 1-Oct-2026), mainboard, 100% book-built. Audited record runs to 31-Mar-2026, 206 days before 23-Oct-2026; FY25 and FY24 are special-purpose Ind AS statements converted from Indian GAAP accounts (p. 404). **No price band, no offer expenses, no anchor details**: this is a screen, not a decision. The upside figures below use a **reference price of Rs 90**, the price of the five cash private placements of Dec-2025 to Mar-2026 (pp. 186-189); it is a reference to size the model, not a price band. Holding period assumed: 2-3 years. Grey market premium is not used. Sources outside the offer document: none for the issuer analysis. Page cites are printed DRHP page numbers. Rs m = Rs million; Rs cr = Rs crore.

Call: Screen only. Fresh issue up to Rs 2,800 m plus an offer for sale of up to 12,000,000 shares by Ishu Bansal; BRLMs Fedex Securities (lead) and Neomile Capital (marketing only).

1. Business of the company

Sai Infinium makes MS billets, TMT bars (brand "Bandhan") and, since February 2026, structural steel sections (angles, beams, channels, flats) at one site in Chamardi, Bhavnagar, Gujarat, on 3.0 lakh sq m of owned land (pp. 287-288, 299). It also holds a ship recycling yard at Alang-Sosiya (no ship bought since Nov-2023, so no recycling revenue in FY26; sales of opening stock gave Rs 96.62 m in FY25), a real estate inventory of 43 properties (Rs 56.99 m) and trades ferrous and non-ferrous scrap (pp. 293, 298).

Revenue, Rs m	FY24	FY25	FY26	FY26 share
TMT bars	2,873.91	4,057.85	3,827.63	55.5%

Revenue, Rs m	FY24	FY25	FY26	FY26 share
MS billets	1,331.01	314.54	391.50	5.7%
Structural steel	-	-	359.63	5.2%
Stock-in-trade	210.56	576.09	415.12	6.0%
Non-ferrous / ferrous scrap	163.79	65.12	1,520.64	22.1%
Sale of raw materials	77.31	175.21	374.01	5.4%
Ship recycling, real estate	25.49	97.93	3.09	0.0%
Revenue from operations	**4,682.07**	**5,286.74**	**6,891.62**	

Source: p. 290. The plant melts sponge iron and steel scrap in 2 × 25-tonne induction furnaces (108,000 t of billets; 88.3% used in FY26, 82.0% in FY25, 80.6% in FY24), rolls TMT bars in Rolling Mill 1 (108,000 t; 76.8%, 84.4% and 53.3% used) and structural steel in Rolling Mill 2 (108,000 t; 5,978 t made in Feb-Mar 2026, 5.5% of annual capacity) (pp. 298, 303). 90% of billets are consumed in-house (p. 304). TMT is sold through 226 dealers (222 in Gujarat, 4 in Punjab) and 5 distributors; TMT bars went to 227 customers in FY26 and to 20 in FY25 (pp. 296, 314). Revenue is 99.74% Gujarat (p. 314). TMT realisation fell from Rs 49,598 a tonne in FY24 to Rs 46,829 and Rs 44,982 (p. 291); structural steel sold at Rs 60,162 a tonne (p. 292). There are no long-term sales contracts (p. 315).

Stage of the business: scaling, with a capacity build ahead of revenue. Total income grew at 20.6% a year over FY24-FY26 and PAT from Rs 61.38 m to Rs 823.79 m (pp. 176, 410), while Rolling Mill 2 has produced for two months, Rolling Mill 3 is due by 31-Dec-2026, a captive wind-solar plant is due by 31-Oct-2026 and a second melting shop is the object of this offer (pp. 298-299). For valuation this means FY26 earnings come from the old asset base, while the cost of the new one is already in borrowings (Rs 3,575.72 m at 31-Mar-2026; Rs 5,024.07 m at 30-Jun-2026, p. 50).

2. Industry outlook

The industry report (CARE Analytics, "Industry Research Report on Steel Industry", 11-Aug-2026) was **commissioned and paid for by the issuer** (p. 287). It reports finished steel consumption of 164 mt in FY26, up 11.6% in the year and growing 8.5% a year since FY20 (p. 218). TMT bar consumption was 49.2 mt in FY25 (10% a year from FY21) and is projected at 72.6 mt by FY30, 8% a year; billets 86.4 mt in FY25 to 124.5 mt by FY30, also 8% (pp. 235-236). Demand drivers cited are public capex, housing and railways. The same report's section on the issuer lists, in its own words, exposure to scrap and sponge-iron price swings with delayed pass-through, "intense competition limits pricing power" among regional re-rolling mills in Gujarat and Alang, debt-funded project execution risk, and credit ratings "in the BB/BBB range" (pp. 282-283). Infomerics rates the bank facilities of Rs 4,194.40 m at **IVR BBB/Stable** (6-Apr-2026, p. 89). Named listed peers in the DRHP are Vraj Iron and Steel, Rudra Global Infra Products, VMS TMT, Gallantt Ispat, MSP Steel Power and VMS Industries (p. 178). Steel is cyclical; demand is tied to construction. Ship recycling at Alang-Sosiya (about 98% of India's activity) is a small and currently idle part of this issuer (p. 293).

3. Moat and SWOT analysis

Moat: narrow and regional. What the evidence shows: a semi-integrated site that turns scrap and sponge iron into billets and rolled products (lower conversion cost than buying billets, 98.5% of TMT billet input captive in FY26, p. 311); a dealer network of 226 built since 2022 (p. 296); BIS licences and CII-GreenPro certification (p.

289); and an owned 3.0 lakh sq m site that has room for the expansion (p. 294). What it does not show: scale (108,000 t a year against Gallantt's Rs 44,189 m revenue), pricing power (CARE says it is limited) or a cost advantage in the numbers (gross margin 31.8% includes scrap trading whose margin is not disclosed). Durability is moderate and rests on the captive power plant and billet self-sufficiency, neither yet in place.

STRENGTHS

- PAT Rs 61.4 m to Rs 823.8 m, EBITDA margin 5.9% to 18.6%, ROE 21.0% on book equity (pp. 179, 410)
- Semi-integrated site: billets 108,000 t (88.3% used), TMT 108,000 t (76.8%), structural steel 108,000 t from Feb-2026 (p. 303)
- 226 dealers and 5 distributors; TMT sold to 227 customers in FY26 (pp. 296, 314)
- Reg 6(1) average operating profit Rs 576.6 m against the Rs 150 m test (p. 571)
- No criminal or regulatory action against the company; 3 of 6 directors independent (pp. 365, 542)

WEAKNESSES

- Manufactured-goods revenue +4.7% in FY26; TMT volume -1.8%, realisation -4.0% (p. 529)
- Related-party sales 23.1% and purchases 35.7% in FY26; top-10 customers 63.8%; Gujarat 99.7% (pp. 31, 37, 314)
- Cumulative CFO 29.0% of PAT; borrowings Rs 5,024.1 m at 30-Jun-2026 (pp. 50, 107)
- Three statutory-audit changes in FY26; FY24-FY25 are converted special-purpose accounts (pp. 117, 404)
- Rs 670.88 m debit capital reserve added back to DRHP net worth (p. 506)

OPPORTUNITIES

- TMT consumption 49.2 mt (FY25) to 72.6 mt (FY30), 8% a year, issuer-commissioned (p. 236)
- Structural steel capacity 108,000 t to 216,000 t by 31-Dec-2026 at Rs 60,162 a tonne vs TMT Rs 44,982 (pp. 292, 298)
- Melting shop doubles billets to 216,000 t, reducing bought-in billets (pp. 153, 298)
- Captive wind-solar plant (39 MWp solar, 26.4 MW wind) against power and fuel cost of Rs 400.33 m (p. 299)
- New dealers in Rajasthan and Punjab; Maharashtra needs CRS certification (p. 300)

THREATS

- Civil suit RCS 154/2025 seeks cancellation of the sale deed for the land under Rolling Mill 2 (p. 46)
- Guarantees of Rs 782.30 m for group borrowers; IREDA pledge over promoter shares not yet created (pp. 48, 50)
- Ship yard permission runs to 18-Oct-2026; consent for the offer not yet obtained (p. 47)
- Regional competition limits pricing power (p. 282); 30% of raw material by volume imported (p. 311)

4. Management analysis and governance

Promoters. Ishu Bansal (78.89%, the selling shareholder), Devansh Infinium Private Limited (13.12%) and Shivnarayan Bansal, Chairman and Managing Director (no direct holding, manager of the company from April 2022, director from Aug-2024; 7 years' industry experience) (pp. 366, 443). Promoters and promoter group hold 93.68% before the offer; 50 other holders hold 6.32% (p. 135). Ishu Bansal received 19,460,000 shares by gift on 6-Mar-2026 (p. 189); her cost of acquisition is stated as below Rs 0.01 a share (p. 1).

Board and pay. Six directors: the CMD (Rs 2.40 m), two executive directors (Rs 2.00 m and Rs 4.58 m) and three independents; total director pay Rs 8.98 m in FY26, 1.1% of PAT and 6.4% of employee cost (pp. 367-368, 449). No bonus or profit-sharing plans. Personal guarantees by the CMD and Nikhil Gupta back the IREDA loan of Rs 3,509.40 m (p. 370).

Key personnel and auditors. Three CFOs between Oct-2024 and Jun-2026 (Singhal, Vidyarthi, Joisher) and two company secretaries since May-2023 (p. 386). Statutory auditors: Parshva Shah & Co and Deepak Goyal & Co (joint, from Sep-2024) both resigned on 20-Nov-2025; Lahoti & Lahoti were appointed on 24-Nov-2025 and resigned on 14-Mar-2026 before starting the audit; ANR & Associates (appointed 16-Mar-2026) audited FY26 and examined the restated numbers. Stated reasons are "pre-occupation" or "increasing professional commitments"; the CARO note says no concerns were raised by the outgoing firm (pp. 117-118, 500). An earlier DRHP for 19.6 m Rs 10 shares was filed on 2-Apr-2025 and withdrawn before the FY25 audit report was signed (p. 406).

Related parties and group. Group entities in the same trades (Honey Ship Breaking, Pratyaksh Ship Breaking, Sai Endeavours) signed non-compete agreements on 25-Jul-2026 and 11-Aug-2026 that bar them from trading metals with the issuer's **top 10 customers** and (for the ship breakers) from ship breaking in Gujarat; the agreements can be varied or terminated (p. 62). Related-party dealings are set out in part 8. Metarex Global, Falvi Infinium and Sai Endeavours were related parties only between March 2025 and May-June 2025 (pp. 470, 391); the DRHP gives no reason for the change and the three together bought Rs 1,824.80 m (26.5% of FY26 revenue) after they left the list, of which Metarex is the largest customer at Rs 1,280.88 m (p. 38).

Litigation and approvals. No criminal proceedings or regulatory actions against the company. Disputed statutory dues Rs 53.52 m (ESIC, GST, income tax; p. 499). A civil suit (RCS 154/2025, filed 3-Apr-2025) seeks cancellation of the sale deed for Survey 1027 paiki 3, where Rolling Mill 2 stands (p. 542). The Income Tax Department told the NCLT that Rs 844.10 m of FY21 transactions of a merged company with EP Tradelink were unexplained and that reassessment for AY 2021-22 was contemplated; no notice has been received (p. 543). A GST summons under section 70 is pending with no amount (p. 542). GPCB consent merger, factory plan revision and GMB consent for the offer are pending (pp. 48-49, 47).

Governance read. Board composition and disclosure are in line with listing requirements. The points to carry into the RHP are the auditor and CFO turnover, the size and two-way nature of group trading, and the loose boundary of the related-party list. Nothing here is a finding of misconduct; each item has a stated reason or a stated approval route.

5. Historical financials and ratios

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.

Rs m	FY24	FY25	FY26
Revenue from operations	4,682.07	5,286.74	6,891.62
growth	-	12.9%	30.4%
Gross profit (margin)	1,177.82 (25.2%)	1,594.92 (30.2%)	2,192.75 (31.8%)
EBITDA (margin)	276.70 (5.9%)	537.89 (10.2%)	1,281.88 (18.6%)
Other income	107.01	212.50	72.71
PBT	82.39	587.78	1,128.48
PAT (margin on revenue)	61.38 (1.3%)	437.48 (8.3%)	823.79 (12.0%)

Rs m	FY24	FY25	FY26
EPS, Rs (split-adjusted)	0.43	1.59	2.80
Operating cash flow	-165.48	-276.77	825.25
Net worth, book equity	1,268.50	2,586.66	3,923.10
DRHP net worth (adds Rs 670.88 m)	1,939.38	3,257.54	4,593.98
Borrowings	906.78	686.34	3,575.72
Net debt / EBITDA	3.26x	1.27x	2.58x
ROE (book)	4.8%	16.9%	21.0%
ROCE (DRHP)	8.5%	20.9%	16.7%
Net working capital days	98	81	28

Sources: pp. 179-180, 409-411, 505-506. The statements reproduce: expenses sum to total expenses, revenue + other income - expenses = PBT, PBT - tax = PAT, KPI EBITDA ties to PAT + tax + finance cost + depreciation - other income, both balance-sheet sides agree, and the Reg 6(1) operating profit re-performs (Rs 1,181.72 m / 470.82 m / 77.26 m). One document error: the summary P&L (p. 106) prints the FY26 and FY25 EPS columns reversed; pp. 177, 410 and 508 have them right.

What drove FY26. Gross profit rose Rs 597.83 m and EBITDA Rs 744.0 m on revenue up Rs 1,604.9 m. Manufactured goods rose only Rs 206.37 m (TMT volume -1.8%, price -4.0%); other operating income rose Rs 1,654.31 m, of which non-ferrous scrap Rs 1,455.52 m. The scrap line sold 721.46 t for Rs 1,519.78 m, Rs 2.11 m a tonne, against Rs 0.18 m a tonne in each of FY24 and FY25 (p. 294); the DRHP describes it as "non-consumable material forming part of the steel scrap purchased" (p. 293), so its cost sits inside raw material purchases and its margin cannot be isolated. Other expenses also fell Rs 187.21 m (11.2% of revenue against 18.1%), mainly because commission and brokerage dropped from Rs 147.09 m to Rs 12.51 m (p. 450). So the margin step-up has three parts that the DRHP does not separate: scrap economics, lower commission, and start-up of structural steel. That is the main thing the RHP should resolve.

Cash and balance sheet. CFO was negative in FY24 and FY25 and Rs 825.25 m in FY26 (29.0% of three-year PAT). The FY26 figure includes a Rs 1,182.47 m release of inventory, Rs 740.20 m lower payables and a Rs 1,189.76 m increase in other non-current assets (mostly advances for capital goods) that is classified inside operating cash flow; with that item shown as investing, FY26 CFO would be about Rs 2,015 m. Tax paid was a net inflow of Rs 19.46 m while Rs 249.29 m of current tax stood payable at year end (pp. 107, 440, 447). Capex was Rs 3,919.78 m; commitments are another Rs 2,370.81 m, mainly the wind-solar plant (p. 440). Trade receivables are 12 days of revenue and 97% under six months past due (p. 441). Payables to related parties are Rs 414.42 m of Rs 492.81 m (p. 446). Unsecured loans were Rs 1,442.29 m at year end, of which about Rs 1,090 m was received in Feb-Mar 2026 (pp. 442, 531).

Ratios at the reference price of Rs 90. Market capitalisation Rs 2,685 cr before and Rs 2,965 cr after the issue. P/E 32.1x on FY26 EPS of Rs 2.80 (36.0x on the post-issue share count, EPS Rs 2.50); 45.0x on the DRHP's weighted three-year EPS of Rs 2.00. EV/EBITDA 23.6x post-issue. P/B 4.5x post-issue on book equity (5.8x pre-issue on the DRHP's NAV of Rs 15.40; 6.8x on book NAV of Rs 13.15).

Is the reported P/E right? Earnings quality at Rs 90

Reported P/E is a fair measure: the adjustments found move FY26 PAT by -0.5%, within the 10% threshold. On the FY24-FY26 average, which smooths one-year items, the P/E is 67.2x reported and 74.3x adjusted.

BASIS	PAT (RS CR)	EPS (RS)	P/E
Reported FY26	82.38	2.5	**36.0x**
FY26 after: property sale gains	82.19	2.5	**36.1x**
FY26 after: ECL reversal	81.96	2.49	**36.2x**
FY24-FY26 average, reported	44.09	1.34	**67.3x**
FY24-FY26 average, adjusted	39.9	1.21	**74.3x**

Items found (pre-tax, Rs crore; negative reduces profit)

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Profit on sale of investment property credited to other income A Rs 158.49 m gain (27% of FY25 PBT) came from selling investment property of the real estate book (Rs 96.35 m of cost disposed, Note 5), Rs 3.64 m in FY24 and Rs 2.47 m in FY26. It is not part of manufacturing earnings and will not recur at that size.	-0.36	-15.85	-0.25	! Yes	High	36.1x	p. 448 (Note 26)
Expected credit loss allowance reversed to other income A Rs 3.14 m release in FY26 after charges of Rs 10.77 m (FY24) and Rs 10.80 m (FY25); 0.3% of FY26 PBT.	0	0	-0.31	! Yes	Medium	36.1x	pp. 441, 448

ITEM AND REASON	FY24	FY25	FY26	IN ADJUSTED P/E	CONFIDENCE	FY26 P/E IF APPLIED	PAGE
Foreign-exchange gains in other income Gains of Rs 18.28 m, Rs 6.18 m and Rs 1.61 m depend on import-heavy raw material buying (29.99% of FY26 raw material by quantity, p. 311) and recur in both directions; shown for information.	-1.83	-0.62	-0.16	No (information)	Low	36.0x	p. 448 (Note 26)

Also checked, no adjustment needed

✔ Pass Borrowing cost: Note 3.1 says costs are capitalised on specific PPE-related borrowings 'wherever applicable' (p. 437) but no amount is disclosed against CWIP additions of Rs 3,773.42 m in FY26 (Note 4, p. 439); FY26 finance cost of Rs 125.95 m shows no capitalised offset, so the capitalised amount is a request for the RHP

✔ Pass Receivables are 96.8% within six months of due date at 31-Mar-2026 (Rs 229.89 m of Rs 237.45 m); allowance Rs 4.87 m (2.1%); bad debts written off Rs 1.61 m (Note 10, p. 441)

✔ Pass Depreciation lives and revenue recognition: revenue is recognised on delivery, no long-term contracts (Note 25, p. 448); depreciation rose with the Rs 2,089.38 m capitalisation of Rolling Mill 2 in FY26

✔ Pass Directors' pay Rs 8.98 m in FY26 (1.1% of PAT), fully charged; no contracted-but-undrawn pay disclosed (pp. 367-368)

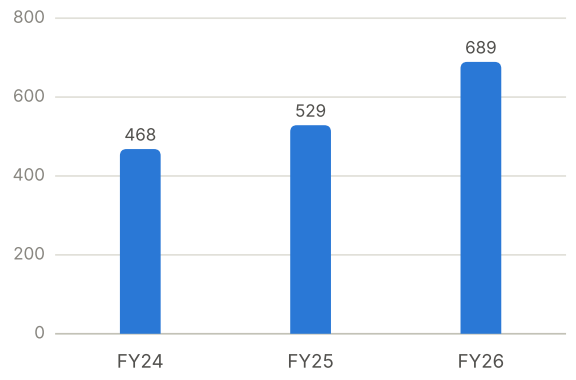
✔ Pass Unsecured loans of about Rs 1,090 m were received in Feb-Mar 2026 so FY26 interest on them was low (p. 531); a full year at the FY25 average cost would add finance cost (not quantified in the DRHP)

✔ Pass Finance cost includes Rs 21.81 m of interest on short-paid advance tax and Rs 15.64 m of MSME interest in FY26 (pp. 449, 447); both are real costs and are not adjusted

✔ Pass Cost of materials includes scrap and sponge iron bought from related parties (35.7% of purchases in FY26); no price benchmark is given, so no adjustment is made

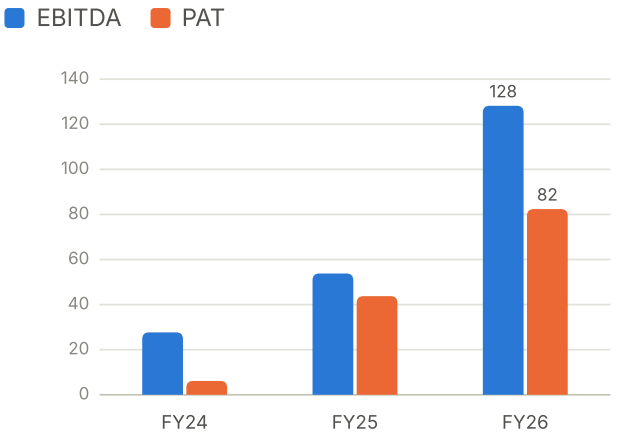
Revenue from operations

Rs crore



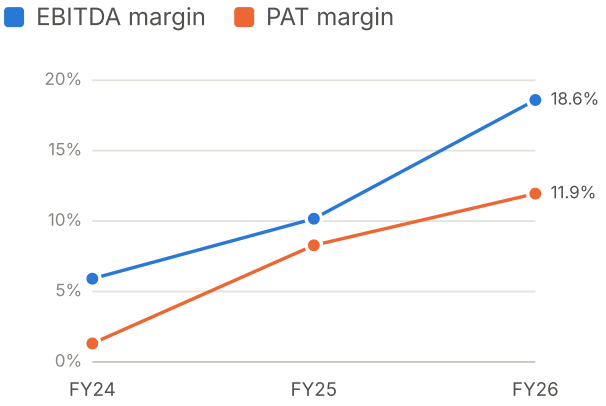
EBITDA and PAT

Rs crore



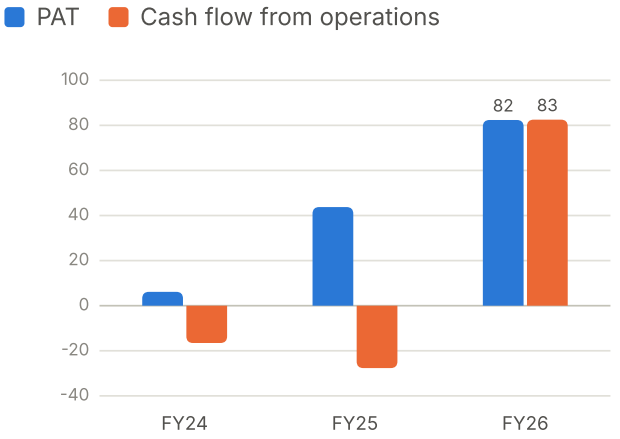
Margins

% of revenue



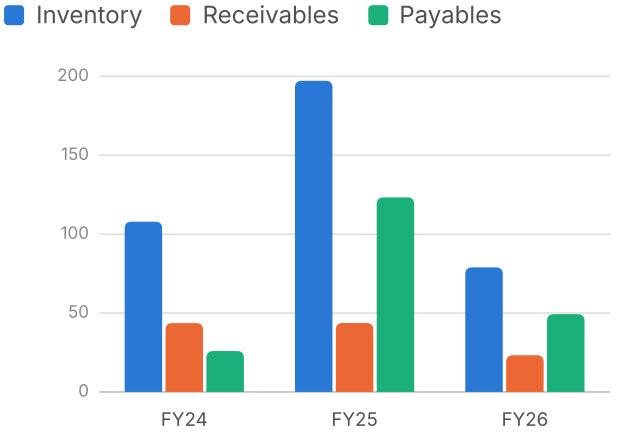
Profit and operating cash flow

Rs crore



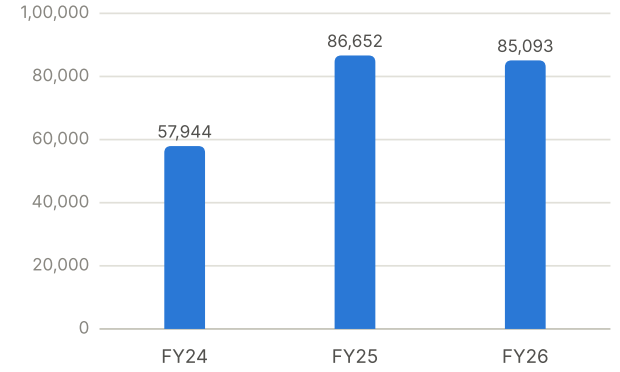
Working capital

Rs crore, year end



Volume

t TMT bars sold



6. Future outlook and projections

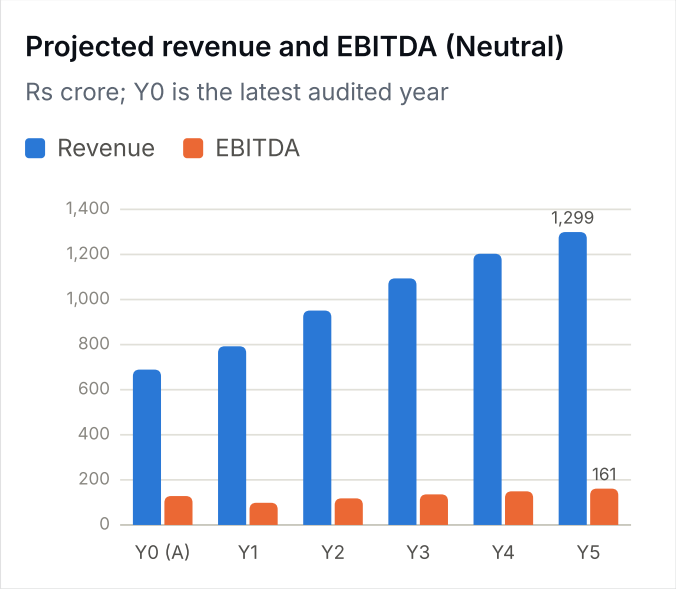
Neutral case from the valuation model; Bear and Bull are in the valuation workbook.

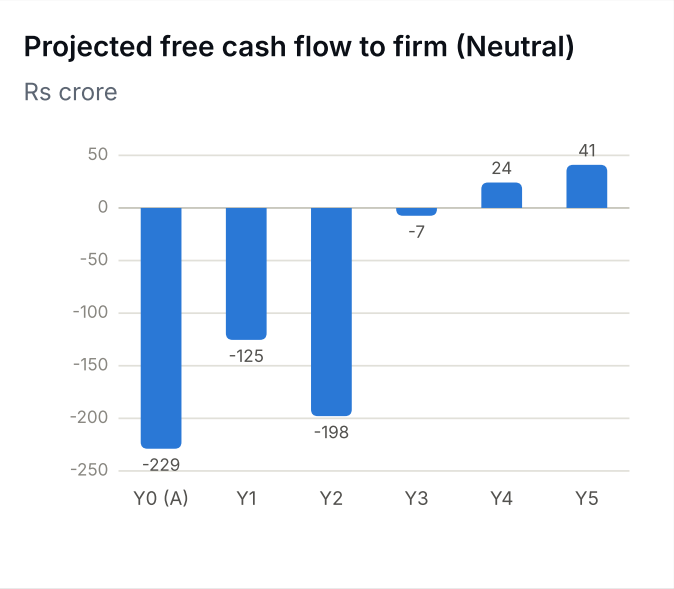
What is contracted or under way. Rolling Mill 2 (capitalised Rs 2,089.38 m, in production since Feb-2026); Rolling Mill 3 (Rs 1,719.51 m incurred, output from 31-Dec-2026, Rs 4,600 m budget for both mills); captive wind-solar plant (Rs 4,043 m cost; Rs 1,747.82 m paid; IREDA loan of Rs 3,509 m sanctioned, Rs 2,627.30 m disbursed by 30-Jun-2026; completion targeted for 31-Oct-2026); melting shop (Rs 2,244.20 m cost, of which Rs 2,100 m from the issue, Rs 30 m internal accruals in FY27 and Rs 114.20 m in FY28; Rs 420 m of proceeds in FY27 and Rs 1,680 m in FY28) (pp. 151, 298-299). The Board has also approved up to Rs 500 m for a copper smelting complex (p. 298). The CMD's plans include dealer expansion in Rajasthan, Punjab and Maharashtra and a dealer app (p. 300). There is no order book; sales are by purchase order.

What has to go right. Structural steel has to move from 5.5% to a much higher use of 216,000 t at prices near Rs 60,000 a tonne, in a market the issuer entered in February 2026; billets have to be self-supplied after the melting shop; the power plant has to cut a power bill of Rs 400.33 m (5.8% of expenses); and the group trading flows that lifted FY26 have to be understood.

Scenario drivers	Bear	Neutral	Bull
Revenue growth Y1-Y5	-5%, 8%, 8%, 6%, 5%	15%, 20%, 15%, 10%, 8%	30%, 30%, 20%, 12%, 10%
Revenue Y5, Rs cr	850	1,299	1,722
EBITDA margin	8.0%	12.4% (3-year weighted)	16.0%
Net working capital % revenue	22%	19%	12%
Terminal ROIC	11%	15%	18%
IPO-funded melting shop	excluded	included	included

Rationale and page cites for each driver are in the valuation workbook (Assumptions sheet). In brief: Bear lets scrap and trading revenue fall back and the mills ramp slowly; Neutral takes structural steel to roughly a third of Rolling Mill 2's capacity in Y1 net of lower scrap sales and to 45-50% of 216,000 t by Y5; Bull takes the new mills to 65-70% use. Neutral uses the three-year weighted EBITDA margin (Rs 2,096.47 m on Rs 16,860.43 m) rather than FY26's 18.6%, per house practice, and the three-year average working-capital intensity (FY26 was the low at 7.7%).



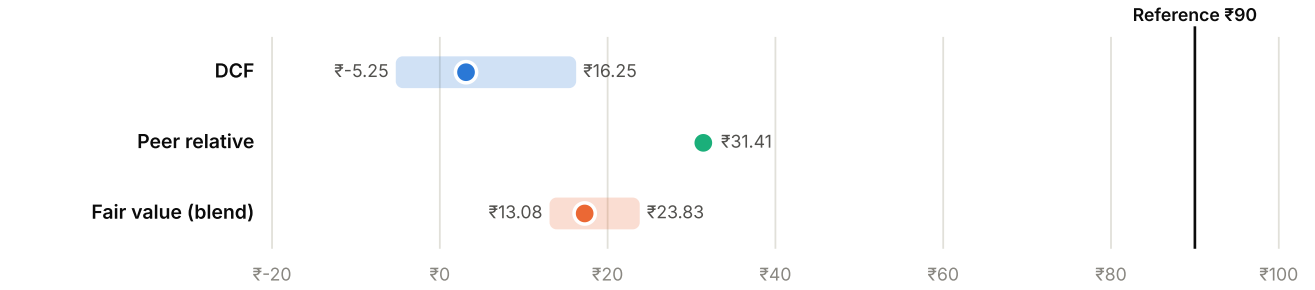


7. Valuation: DCF and peer comparison (P2P)

DCF and peer values shown separately, then blended. Reference: Rs 90 = the issue price of the five cash private placements of 17-Dec-2025 to 23-Mar-2026 (Rs 2 shares), the DRHP's weighted average cost of its latest primary issues (pp. 186-189). It is a reference to size the model, not a price band and not a view of the right price. Secondary transfers in the same window were at Rs 15 to Rs 30 and 19.46 m shares moved by gift at nil; the Sep-Dec 2024 rounds were at Rs 30 per Rs 2 share (p. 443).

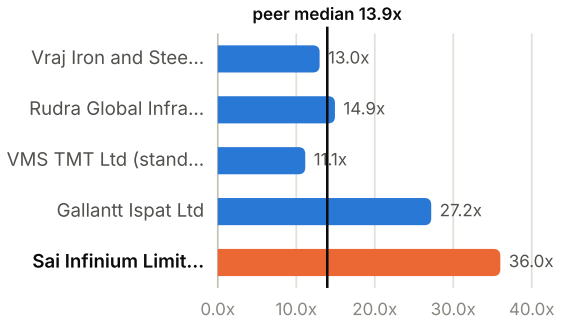
Value per share (Bear – Neutral – Bull)

Bar spans Bear to Bull; dot is Neutral. Vertical lines mark the price band.



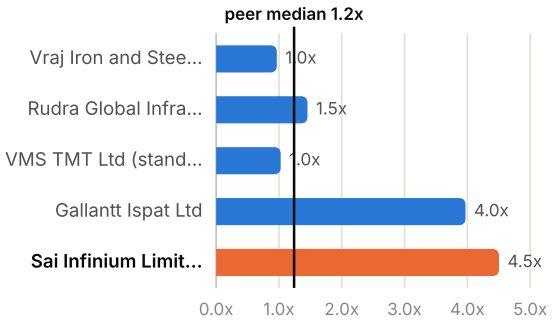
Peer P/E

Issuer at the reference price (orange) vs listed peers



Peer P/B

Issuer on post-issue net worth



Scenario summary

RS/SHARE	DCF	RELATIVE	FAIR VALUE	VS REFERENCE
Bear	₹-5.25	₹31.41	**₹13.08**	-85.5%
Neutral	₹3.12	₹31.41	**₹17.26**	-80.8%
Bull	₹16.25	₹31.41	**₹23.83**	-73.5%

WACC	**14.5%**
Terminal value share of EV	**237.7%**

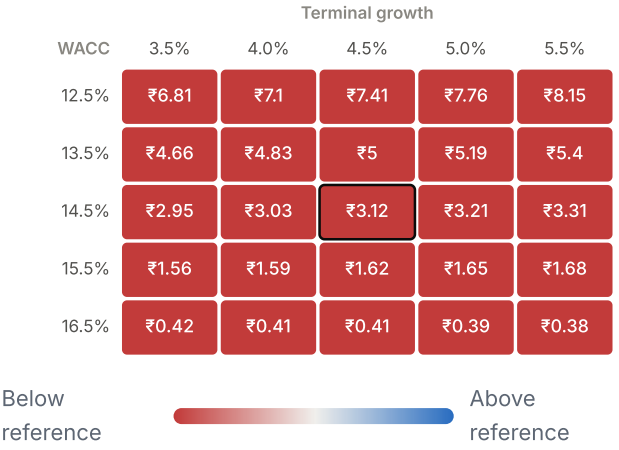
Reverse DCF: what the reference price assumes

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	14.5%
required EBIT margin (steady state)	80.0%	17.2%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	7.7%

Current free cash flow is negative, so no multiple can be stated: the price assumes cash generation improves from here.

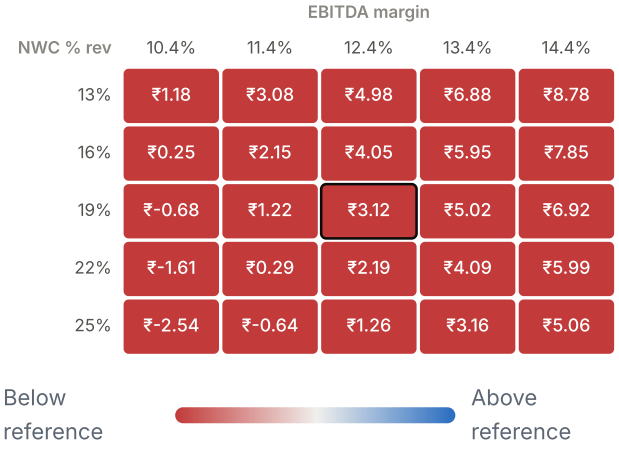
Sensitivity: WACC vs terminal growth

DCF value per share (Rs). Blue above, red below the reference.



Sensitivity: working capital vs EBITDA margin

DCF value per share (Rs).



Peer table (issuer's own six names, FY26 data and 22-Sep-2026 prices from pp. 178-184; four included, two excluded as not meaningful):

Company	Price, Rs	P/E	EV/EBITDA	P/B	EBITDA margin	ROE
Vraj Iron and Steel	125.88	13.0x	8.0x	0.97x	9.6%	7.5%

Company	Price, Rs	P/E	EV/EBITDA	P/B	EBITDA margin	ROE
Rudra Global Infra	20.10	14.9x	9.1x	1.45x	5.9%	9.7%
VMS TMT (standalone)	47.23	11.1x	7.5x	1.03x	7.2%	9.2%
Gallantt Ispat	545.70	27.2x	18.4x	3.97x	16.2%	14.6%
Median (included)		**13.9x**	**8.5x**	**1.24x**	6.7%	8.3%
MSP Steel Power (excluded)	33.39	59.1x	n.m.	n.m.	6.2%	3.3%
VMS Industries (excluded)	18.02	30.2x	n.m.	n.m.	4.3%	1.5%
Sai Infinium at Rs 90, post-issue	90.00	**36.0x**	**23.6x**	**4.50x**	18.6%	12.5%

Share counts are net worth divided by the DRHP's NAV per share; for VMS TMT this gives a P/E of 11.1x against the DRHP's 9.54x (the DRHP uses weighted-average EPS). The median is the same either way. At the reference price the issuer is at a 158% premium to the peer median P/E, 177% on EV/EBITDA and 263% on P/B. Its EBITDA margin (18.6%) is above all four included peers and its ROE (12.5% post-issue, 21.0% pre-issue on book equity) is at or above them, which is the case for a premium; the three-year record (margin 5.9%/10.2%/18.6%) is the case against.

DCF inputs. Risk-free 6.5%, beta 1.10, equity risk premium 7.0%, size premium 2.0%, company-specific premium 0% = cost of equity 16.2%; pre-tax cost of debt 10%, tax 25.17%, debt weight 20%: **WACC 14.46%**; terminal growth 4.5% with reinvestment of g / ROIC. Net debt Rs 330.63 cr (borrowings 357.57 less cash 26.95, as the DRHP's 2.58x), proceeds credited Rs 266.0 cr after assumed 5% offer expenses. Growth capex per rupee of added revenue is set at 0.49, not the 2.38 that FY26 implies, because FY26 spending is on capacity not yet producing (Rolling Mill 3, the power plant, Rs 1,294 m of advances); 0.49 is the remaining committed non-IPO programme (Rs 3,161.92 m) over the revenue it supports at full use (Rs 6,497.5 m), and is above the 0.32 that Rolling Mill 2 cost and the 0.30 of FY25. This is a documented override of the toolkit's default formula.

Neutral five-year projection, Rs cr

	Y0 (FY26)	Y1	Y2	Y3	Y4	Y5
Revenue	689.2	792.5	951.0	1,093.7	1,203.1	1,299.3
EBITDA	128.2	98.3	117.9	135.6	149.2	161.1
NOPAT	88.4	64.9	77.9	89.6	98.5	106.4
Organic capex	392.0	62.2	91.5	85.8	71.1	66.0
IPO-funded capex	-	42.0	168.0	-	-	-
Change in working capital	-64.7	97.7	30.1	27.1	20.8	18.3
Free cash flow to firm	-228.9	-125.4	-197.9	-7.4	24.2	41.0

Scenario table, Rs per share

	DCF	Relative	Blended 50:50	vs Rs 90
Bear	-5.25	31.41	13.08	-85.5%
Neutral	**3.12**	**31.41**	**17.26**	**-80.8%**

	DCF	Relative	Blended 50:50	vs Rs 90
Bull	16.25	31.41	23.83	-73.5%

Relative value is the weighted P/E (40%, Rs 34.88), EV/EBITDA (40%, Rs 31.24) and P/B (20%, Rs 24.80) value on FY26 numbers with no premium or discount to the peer median. On the three-year average PAT of Rs 44.09 cr, the P/E leg would be Rs 18.7 a share instead of Rs 34.9 (equity value Rs 615 cr against Rs 1,149 cr). The blend uses 50:50 because the issuer names listed peers (p. 178).

Why the methods differ (divergence -90%). The multiple method prices FY26 earnings at steel-peer multiples and credits the Rs 266 cr of proceeds; the DCF prices cash, and the explicit period burns cash (cumulative FCFF -Rs 331 cr over Y1-Y3, so the terminal value is 2.4 times enterprise value) because the model funds the melting shop, a rebuild of working capital from 7.7% to 19% of revenue and the remaining mill and power spending before the new capacity earns. **The terminal-value guard fires (237% of EV), so the DCF leg is a statement about timing and cost of capital, not a point estimate to lean on.** For that reason the call limb is shown both ways below. Sensitivity (Neutral DCF, Rs per share): WACC 12.5% to 16.5% moves it from 7.4 to 0.4; EBITDA margin from 10.4% to 14.4% moves it from -0.7 to 6.9 at 19% working capital; at FY26's 18.6% margin it would be Rs 14.9, still below one-fifth of the reference.

Reverse DCF in plain words. Current free cash flow is negative (FY26 FCFF -Rs 228.9 cr), so no multiple of cash flow can be stated. Holding growth at the Neutral path, the steady-state EBIT margin needed to support Rs 90 is about 80% against 17.2% today, and the working-capital lever is unreachable. In plain terms: none of the three scenarios reaches Rs 90. A price of 32x earnings for a steel maker assumes something the DRHP does not show, for example a durable 18% margin on a much larger structural-steel business.

8. Areas to watch and growth drivers

Growth drivers to track. (1) Rolling Mill 2 and 3 utilisation and structural-steel realisation per tonne, quarter by quarter. (2) Whether TMT volume and price recover from FY26 (85,093 t at Rs 44,982). (3) Billet self-sufficiency after the melting shop (the object). (4) Power cost per tonne after the wind-solar plant commissions. (5) Dealer additions outside Gujarat.

Points to monitor (normal-course items, each reported once, none cutting fair value on its own):

- *Group trading.* Related-party sales Rs 1,593.47 m (23.1% of revenue; 59.1% in FY25), purchases Rs 1,253.88 m (35.7% of purchases; 44.9%), fixed-asset purchases Rs 537.68 m (13.7% of cash capex; 52.4% in FY25), loans taken Rs 173.97 m. Devansh Infinium (a promoter) is customer (Rs 1,086.91 m), supplier (Rs 456.48 m) and capex vendor (Rs 353.55 m). Five of the ten largest customers (Rs 3,375.74 m, 49.0% of revenue) and five of the ten largest suppliers (about 46% of purchases) are or were related. The DRHP says all dealings are at arm's length with Audit Committee approval (pp. 31, 34) and gives no price benchmark. This is a disclosed feature; its size is why it is listed first.
- *Guarantees.* Rs 782.30 m for Devansh Infinium (Rs 450 m), Axat Impex (Rs 332.30 m) and Sai Endeavours (Rs 200 m) (p. 48); all three are customers.
- *Leverage.* Net debt / EBITDA 2.58x at 31-Mar-2026; borrowings Rs 5,024.07 m at 30-Jun-2026 of which Rs 1,708.12 m unsecured and repayable on demand (p. 50). The lender consent from Bank of Baroda for the offer was assumed after no reply (p. 51).
- *Cash tax and bank returns.* Rs 249.29 m of tax unpaid at year end; quarterly stock and book-debt returns to Bank of India differed from books by Rs 66-212 m for stock, explained as excluded divisions (p. 499).
- *Land and approvals.* The civil suit over Rolling Mill 2's land; GPCB and factory-plan consolidation; ship yard permission to 18-Oct-2026.

- *Tax observation.* Rs 844.10 m of FY21 transactions of a merged company noted by the Income Tax Department.
- *Insurance cover* 51.2% of insured assets in FY26 (65.5% in FY25), p. 317.
- *Customs.* A 2022 import of heavy melting scrap has one container under seizure for used cartridges (p. 501).

What would change our view (measurable, checkable in the RHP):

1. A price band at or below about Rs 25 would put the rule in the Neutral limb or better; each Rs 10 above that reduces Neutral upside by about 10 percentage points (thresholds in part 9).
2. A split of FY26 gross profit and EBITDA between TMT, structural steel, billets and scrap, with the purchase cost and customers of the Rs 1,519.78 m of non-ferrous scrap; if scrap earned less than the EBITDA margin the Neutral 12.4% margin is supported, if more, the three-year margin is too high.
3. Customer-level evidence that Metarex, Falvi and Sai Endeavours (Rs 1,824.80 m after leaving the related-party list) are unrelated, or inclusion of them in the list.
4. H1 FY27 results: structural steel above 30% of Rolling Mill 2's capacity, positive operating cash flow after tax, and borrowings no higher than Rs 5.0 bn.
5. The auditors' resignation letters and ADT-3 filings, and an explanation of why two joint auditors left on the same day.
6. A resolution of the Rs 844.10 m tax observation and the RCS 154/2025 suit.

9. Conclusion

CALL

Screen only

STAGE

Mainboard · DRHP

PAT rose from Rs 61.4 m to Rs 823.8 m and EBITDA margin from 5.9% to 18.6% over FY24-FY26, but manufactured-goods revenue grew only 4.7% in FY26 (the rest is scrap and raw-material sales), group entities are about a quarter of sales and over a third of purchases, and the Rs 90 reference is 32x FY26 EPS against a steel-peer median of 13.9x, so the RHP price band and an explanation of FY26's margin decide the case.

Call: Screen only (no price band). At the Rs 90 reference the rule in the standing instructions would read **Avoid**, on the second limb: the Neutral blended value of Rs 17.26 is 80.8% below the price (more than 30%), and the Bull value of Rs 23.83 is also below it. The same limb applies if the DCF leg is set aside and the relative value of Rs 31.41 is used (-65%). No check is a FAIL: the items above are disclosed, in proportion to a regional steel maker with a large group, and none is a misstatement, qualification or undisclosed dealing.

Price thresholds under the rule (Neutral blended Rs 17.26; Bull Rs 23.83): Subscribe at or below about Rs 19; Neutral up to about Rs 25 (or while the Bull value is at or above the price); Avoid above that. On relative value alone (Rs 31.41) the thresholds would be Rs 35 and Rs 45. The fair value range from the three scenarios is Rs 13 to Rs 24 per share (Rs 31 on the multiple method alone).

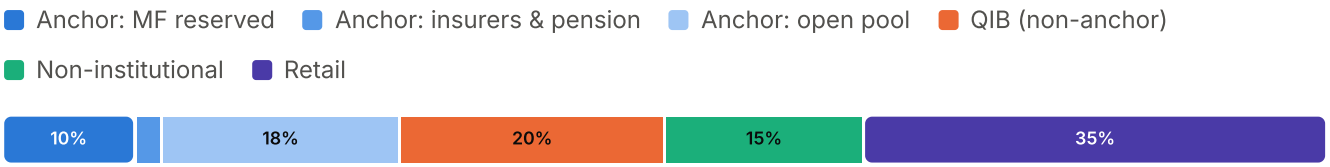
What decides it. First, whether FY26's 18.6% EBITDA margin is the new level or a one-year result helped by scrap sales and low commission; the issuer's own report describes pricing power as limited. Second, whether the Rs 10 bn-plus build (mills, power plant, melting shop) earns its cost of capital once the group trading flows around it are seen at arm's length. Neither can be settled from the DRHP.

Appendix

Offer structure and lock-ins, lead managers' track record, diligence checks and supporting detail.

Issue split by investor category (Rs 388 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital at the Rs 90 reference)	658.9	1095
Promoter holding above the minimum contribution, after the OFS	2,015.9	365
Pre-issue holders other than promoters (50 holders, mostly the Dec-2025 and Mar-2026 placements at Rs 90)	188.5	180

Lead manager: Fedex Securities Private Limited

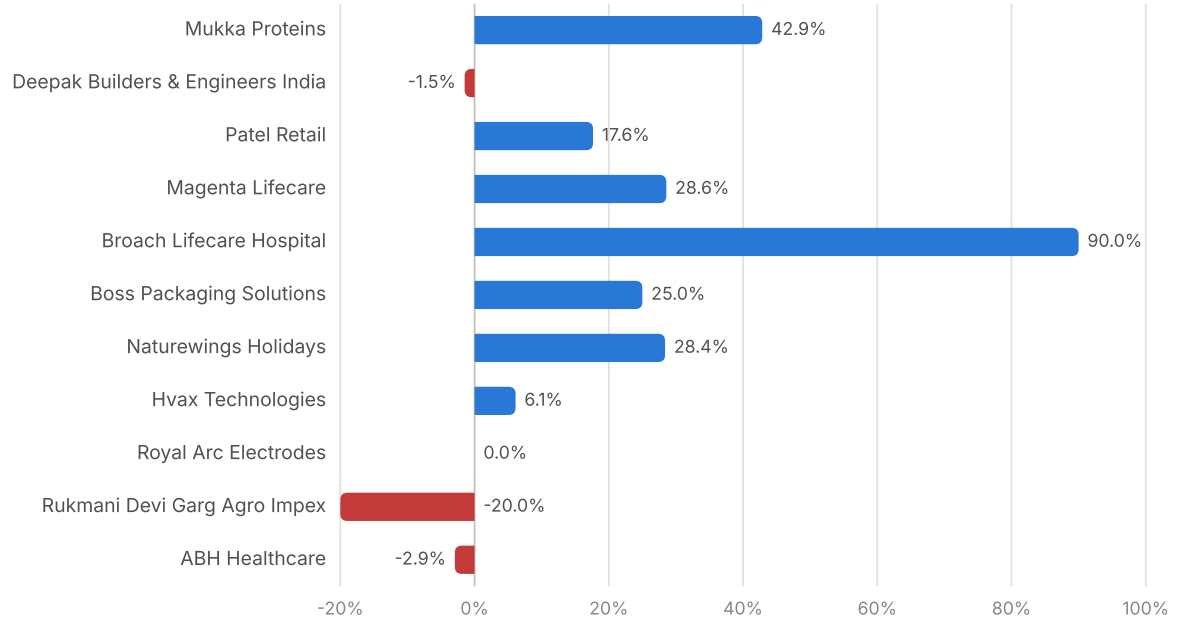
Listed: –

Owner: –

FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	1	35
FY2025-26	2	266
FY2024-25	10	380
FY2023-24	14	542

Lead managers' recent issues: listing-day open vs issue price

Offer-document data



Diligence checks

#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	! Watch	No bonus issue. The 5-for-1 split (Rs 10 to Rs 2, approved 29-Nov-2025) is applied to all years: EPS Rs 2.80 / 1.59 / 0.43 on 298,327,183 shares at year end. The summary P&L on p. 106 prints the FY26 and FY25 EPS columns the wrong way round (1.59 for FY26, 2.80 for FY25); pp. 177 and 410 carry the correct order and PAT / shares reproduces 2.80 for FY26. A document error, corrected elsewhere in the same document.	pp. 106, 177, 410, 506
2	Cash flow vs profit	! Watch	Operating cash flow Rs -165.48 / -276.77 / +825.25 m against PAT 61.38 / 437.48 / 823.79 m; cumulative CFO/PAT 29.0% (383.00 / 1,322.65). Two classification facts cut both ways: (i) the working-capital block includes a Rs 1,189.76 m rise in other non-current assets, mainly capital-goods advances of Rs 1,294.25 m (Note 7, p. 440), so on an investing-activity basis FY26 CFO would be about Rs 2,015 m; (ii) FY26 CFO also includes a Rs 1,182.47 m inventory release, a Rs 740.20 m fall in payables and no cash tax outflow (tax line is a Rs 19.46 m inflow), with Rs 249.29 m of current tax payable at year end. Business reason is documented; read together the FY26 cash figure is not a clean run-rate in either direction.	pp. 107-108, 411
3	Current vs deferred tax	! Watch	Total tax charge 26.5% of cumulative PBT (476.00 / 1,798.65 Rs m) and 18% of it deferred (87.53 Rs m); effective rate 27.0% in FY26. Tax actually paid was Rs 148.65 m in FY25 and Rs 2.27 m in FY24, with a Rs 19.46 m net inflow in FY26 (cumulative Rs 131.46 m, 7.3% of PBT); Rs 249.29 m was payable at 31-Mar-2026 and Rs 21.81 m of interest was provided for short payment of advance tax in FY26 (Note 22, p. 447).	pp. 447, 411
4	Related-party capex & subsidiaries	! Watch	Related-party sales Rs 1,593.47 m (23.1% of FY26 revenue; 59.1% in FY25) and purchases Rs 1,253.88 m (35.7% of purchases; 44.9% in FY25), plus fixed-asset purchases of Rs 537.68 m in FY26 (13.7% of cash capex) and Rs 282.90 m in FY25 (52.4%). Devansh Infinium Private Limited (a corporate promoter, 13.12% holder) is customer (Rs 1,086.91 m), supplier (Rs 456.48 m) and capex vendor (Rs 353.55 m). Payables to related parties Rs 414.42 m = 84% of trade payables (Note 21). The DRHP states all dealings are at arm's length with Audit Committee approval (p. 34) but gives no price benchmark. Proceeds go to the company's own melting shop, not to a related party.	pp. 31-34, 110-112, 470-473
5	Objects arithmetic as price floor	– N.A.	Amount-based fresh issue (Rs 2,800 m) with no fixed share count, so no price floor can be set. The specific object is the melting shop at Rs 2,100 m of net proceeds (75.0% of gross) against a Rs 2,244.20 m project cost, the rest from internal accruals (Rs 30.00 m in FY27, Rs 114.20 m in FY28). General corporate purposes are capped at 25% of gross proceeds (Rs 700 m); offer expenses are [blank] in the DRHP.	pp. 150-151
6	Revaluation reserve	✔ Pass	No revaluation reserve; other equity is retained earnings Rs 2,150.76 m, securities premium Rs 1,846.57 m and a debit capital reserve of Rs 670.88 m.	p. 444

#	CHECK	RESULT	FINDING	PAGE
7	Goodwill vs tangible equity	! Watch	No goodwill on the balance sheet, but the 2024 merger of two promoter-group companies (pooling of interests, effective 30-Mar-2024) left a Rs 670.88 m debit balance in capital reserve, 17.1% of book equity of Rs 3,923.10 m (Rs 237.85 m of it is goodwill derecognised on Ind AS transition, p. 498). The DRHP's net worth (Rs 4,593.98 m), NAV per share (Rs 15.40) and RoNW (17.93%) add the Rs 670.88 m back; on book equity NAV is Rs 13.15 and ROE 21.0%. Stated on both bases in this note.	pp. 485-486, 498, 506
8	Customer / supplier / geographic concentration	! Watch	Demand: top-10 customers 63.83% / 84.31% / 38.05% of revenue (FY26 / FY25 / FY24); top customer Metarex Global 18.59% (FY25: Devansh Infinium 54.27%). Five of the FY26 top ten (Metarex, Devansh, Falvi Infinium, Sai Endeavours, Axat Impex; Rs 3,375.74 m, 49.0% of revenue) are, or were during part of FY26, on the related-party list. Supply: top-10 suppliers 63.98% of purchases; five of them are related or former related parties. Gujarat is 99.74% of revenue. No long-term contracts with dealers, distributors or suppliers (pp. 29, 315). Reported once, in proportion, as concentration typical of a regional rebar maker plus a group-trading overlay.	pp. 29-30, 37-39, 313-315
9	Contingent liabilities	! Watch	Contingent liabilities Rs 889.69 m = 22.7% of book equity, of which Rs 782.30 m are corporate guarantees for borrowings of Devansh Infinium (Rs 450 m), Axat Impex LLP (Rs 332.30 m) and Sai Endeavours (Rs 200 m, p. 48); the three borrowers are also customers. Commitments for capital goods Rs 2,370.81 m (p. 440). The Income Tax Department noted in the NCLT order (7-Aug-2024) Rs 844.10 m of FY21 transactions of a merged company with EP Tradelink as unexplained and contemplated reassessment for AY 2021-22; no notice has been received (p. 543). Materiality threshold is the lower of 2% of turnover, 2% of net worth and 5% of average PAT (p. 541).	pp. 109, 48, 543
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	Three statutory-audit changes in FY26: Parshva Shah & Co and Deepak Goyal & Co (joint auditors since 30-Sep-2024) both resigned on 20-Nov-2025 (stated reasons: pre-occupation and increasing commitments); Lahoti & Lahoti were appointed on 24-Nov-2025 and resigned on 14-Mar-2026 before the audit started (pre-occupancy); ANR & Associates were appointed on 16-Mar-2026 and audited FY26. FY25 and FY24 are special-purpose Ind AS statements converted from Indian GAAP accounts audited by Parshva Shah & Co (unmodified, 5-Sep-2025 and 6-Sep-2024). Three CFOs in 9 months (Oct-2024 to Jun-2026). No qualification; reasons for resignation are not company-specific, which the RHP should address.	pp. 117-118, 405, 386

#	CHECK	RESULT	FINDING	PAGE
R2	CARO / audit trail	! Watch	The examination report notes CARO 2020 remarks and 'certain instances' on the audit-trail (edit-log) feature for FY26, shown in Part B of Annexure VI (p. 407). The CARO list for FY26 shows quarterly returns filed with Bank of India that differ from the books: stock Rs 1,150.03 m vs Rs 938.11 m in Q1, Rs 789.40 m vs Rs 687.39 m in Q4 (differences Rs 66.43 m to Rs 211.92 m, explained as divisions excluded from the hypothecated stock) and book debts by Rs -80.63 m to +13.28 m (explained as provisional figures submitted before reconciling customer accounts) (p. 499). The FY25 CARO records a customs dispute on a Jan-2022 import of heavy melting scrap, one container still under seizure for used cartridges (p. 501). An earlier DRHP for 19.6 m Rs 10 shares was filed on 2-Apr-2025 and withdrawn before the FY25 audit report was signed (pp. 406, 499).	pp. 407, 499-502
R3	Monitoring agency	✔ Pass	Monitoring agency to be appointed (fresh issue above Rs 1,000 m). No debt-repayment object. The melting shop is on owned land (Rs 44.15 m, fully paid, p. 154).	p. 173
R4	Eligibility re-computation	✔ Pass	Reg 6(1) re-performed: operating profit 1,181.72 / 470.82 / 77.26 Rs m reproduces from PBT less other income plus finance cost (1,128.48 - 72.71 + 125.95 = 1,181.72); three-year average Rs 576.60 m against the Rs 150 m test and positive in each year; net worth above Rs 10 m; monetary assets 7.02% of NTA. The name was last changed on 22-Nov-2024, more than a year before filing. Restated NTA of Rs 3,838.83 m does not equal total equity of Rs 3,923.10 m (difference Rs 84.27 m, unexplained); the test passes on either figure.	p. 571
R5	SME conditions	! Watch	OFS of 12,000,000 shares by Ishu Bansal, about 5.1% of her 235,354,800 shares (below half of her holding). If the 20% OFS ceiling applies, the OFS is within it only at a price of Rs 58.33 or less (12.0 m x P <= 20% x (Rs 2,800 m + 12.0 m x P)); at the Rs 90 reference it would be Rs 1,080 m, 27.8% of a Rs 3,880 m offer. Her weighted average cost of acquisition is below Rs 0.01 and 19,460,000 shares reached her by gift on 6-Mar-2026 (p. 189). Re-test at the RHP price.	pp. 1, 101
R6	Lead-manager track record	! Watch	Fedex Securities is the BRLM; Neomile Capital is a marketing-only BRLM and is handling its first public issue. Fedex lists 3 mainboard IPOs in the table: Mukka Proteins (+35.5% at day 30, +65.3% at day 180), Deepak Builders (-23.2%, -30.9%) and Patel Retail (-7.2%, -28.7%), plus 8 SME issues; its full track record is at a website link only (p. 579). Recorded in data/merchant_bankers.json.	pp. 577-579

#	CHECK	RESULT	FINDING	PAGE
R7	Firm means of finance	! Watch	Project cost of the melting shop is Rs 2,244.20 m (cost report of 17-Aug-2026); quotations are valid for about 12 months from April to July 2026. This object sits beside a larger programme already under way: Rolling Mill 3 (Rs 1,719.51 m incurred, production by 31-Dec-2026), a captive wind-solar plant costing about Rs 4,043 m (Rs 1,747.82 m paid to Opera Energy, completion by 31-Oct-2026) and a Rs 500 m copper smelting plan. Borrowings were Rs 5,024.07 m at 30-Jun-2026 against Rs 3,575.72 m at 31-Mar-2026. The IREDA pledge over promoter shares is not yet created (Rs 5.11 m penalty paid, waived to an extended date, p. 50).	pp. 150-153, 299, 440, 464

Under the Fund's rules a check is marked Fail only for a material issue; normal features of the business are Watch items, covered in part 8.

Appendix A: Offer, anchor book and lock-ins

Fresh issue up to Rs 2,800 m (amount-based, share count blank); offer for sale up to 12,000,000 shares of Rs 2 by Ishu Bansal (about 5.1% of her holding, below the half-holding ceiling); 298,327,183 shares before the offer (p. 101). Use of net proceeds: Rs 2,100 m for the melting shop; the balance for general corporate purposes (capped at 25% of gross proceeds) and offer expenses, both blank; a monitoring agency will be appointed (pp. 150, 173). The category split is blank in the DRHP (at least 15% non-institutional); the workbook uses the standard 50% QIB / 15% non-institutional / 35% retail. Up to 60% of the QIB portion can go to anchors, **at the issuer's discretion**, of which one third is reserved for mutual funds and 6.67% for insurers and pension funds (p. 102). Anchor lock-in: half for 30 days and half for 90 days from allotment, so anchor shares cannot be sold on listing day. At Rs 90 the offer would be about Rs 388 cr (Rs 280 cr fresh + Rs 108 cr offer for sale), 13.1% of post-issue capital.

If the 20% ceiling on an offer for sale applies, 12.0 m shares fit only at a price of Rs 58.33 or less; at Rs 90 the offer for sale would be 27.8% of the offer (re-test at the RHP price).

Lock-in	Shares, lakh	Days	Basis
Promoter minimum contribution (20% of post-offer capital at Rs 90)	658.9	1,095	p. 145
Promoter holding above the minimum, after the offer for sale	2,015.9	365	p. 145
Pre-issue holders other than promoters (50 holders; mostly Rs 90 placements)	188.5	180	pp. 135, 146

Free float at listing on these figures: fresh 311.1 lakh + offer for sale 120.0 lakh + existing public 188.5 lakh = about 619.6 lakh shares, 18.8% of post-issue capital; promoter lock-ins of 2,674.8 lakh shares expire from year one. The March-2026 placements at Rs 90 (to about 50 holders) are the shares that become tradable first, after six months.

Priced history of the shares (p. 186-189). Primary: Rs 150 per Rs 10 share (Rs 30 per Rs 2 share) in Sep-Dec 2024; Rs 90 per Rs 2 share in Dec-2025 to Mar-2026 (about 5.7 m shares for about Rs 510 m). Secondary: Rs 22, Rs 30 and Rs 15 a share between Dec-2025 and Mar-2026; gifts of 19.46 m shares at nil on 6-Mar-2026. Weighted average cost of acquisition: Rs 90.00 (primary, last five) and Rs 6.09 (secondary).

Appendix B: Merchant bankers

Fedex Securities Private Limited (SEBI INM000010163, lead BRLM; Mumbai). Owner: not sourced in this run (verify from BSE / MCA). Past issues shown in the DRHP (pp. 577-579; exchange-sourced):

Issue	Platform	Size, Rs cr	Issue price, Rs	Listed	Day 30 / 90 / 180 vs issue
Mukka Proteins	Main	224.00	28	7-Mar-2024	+35.5% / +11.1% / +65.3%
Deepak Builders & Engineers	Main	260.04	203	28-Oct-2024	-23.2% / -18.8% / -30.9%
Patel Retail	Main	242.66	255	26-Aug-2025	-7.2% / -5.1% / -28.7%
Eight SME issues (Magenta Lifecare to ABH Healthcare)	SME	3.5-36 each	25-458	2024-2026	listed on p. 578

The DRHP's summary shows 1 + 1 + 1 mainboard IPOs for FY24, FY25 and FY26 and 13, 9, 1 and 1 SME IPOs for FY24 to FY27, and links the full track record to the firm's website only (p. 579). Current prices and issuer financials of these companies are not sourced in this run. A neutral read: three mainboard IPOs in three years, one well above issue price at 180 days and two below; the SME book is mixed (p. 579). **Neomile Capital Advisors Private Limited** is marketing-only and has not handled any public issue before (p. 578). The registrar is KFin Technologies.

Appendix C: Diligence checks

#	Check	Status	Finding in brief
1	Bonus / share count	WATCH	No bonus; 5:1 split applied; summary-P&L EPS columns transposed (p. 106)
2	Cash flow vs profit	WATCH	Cumulative CFO 29.0% of PAT; classification and working-capital effects both large
3	Current vs deferred tax	WATCH	Tax charge 26.5% of PBT; 7.3% paid in cash by year end; Rs 249.29 m payable
4	Related-party capex	WATCH	Rs 537.68 m of FY26 capex from related parties; group trading 23-36%
5	Objects as price floor	N.A.	Amount-based; no share count
6	Revaluation reserve	PASS	None
7	Goodwill vs equity	WATCH	Rs 670.88 m debit capital reserve = 17.1% of book equity
8	Concentration	WATCH	Top-10 customers 63.8%; Gujarat 99.7%; five of top 10 related or formerly related
9	Contingent liabilities	WATCH	Rs 889.69 m (22.7% of equity), Rs 782.30 m guarantees
10	Investor presentation	N.A.	Not reviewed
R1	Auditors	WATCH	Three audit changes in FY26; no qualification
R2	CARO / audit trail	WATCH	Bank-return mismatches; customs seizure; withdrawn DRHP of Apr-2025
R3	Monitoring agency	PASS	To be appointed
R4	Reg 6(1) eligibility	PASS	Re-performed: average operating profit Rs 576.6 m
R5	OFS limits	WATCH	Within half-holding; 20% ceiling only at Rs 58.33 or less
R6	BRLM record	WATCH	Fedex: 1 of 3 mainboard IPOs above issue at day 180; Neomile first issue
R7	Objects and project	WATCH	Large programme beside the object; borrowings rising; pledge pending

Appendix D: Data gaps and verification

Gap	Severity	Where it would come from
Price band, offer expenses, GCP, anchor details, post-issue shares	High	RHP
Audited record is 206 days old; borrowings up Rs 1,448 m by 30-Jun-2026; no interim results	High	RHP
Economics of non-ferrous scrap (Rs 2.11 m a tonne in FY26 against Rs 0.18 m); cost and customers	High	RHP / issuer
Control of Metarex, Falvi, Sai Endeavours since May-June 2025; identity of Deep Enterprise (Rs 505.72 m)	High	RHP / MCA
Arm's-length evidence for group purchases, sales, capex and guarantees	High	RHP / issuer
Reasons for the three auditor resignations; ADT-3	High	MCA / issuer
Income Tax observation of Rs 844.10 m (EP Tradelink)	Medium	RHP
Power plant and Rolling Mill 3 cost and completion; capital advances by vendor	Medium	RHP
CFO classification of capital advances; tax paid sign	Medium	RHP
EPS transposition on p. 106; ROCE 16.73% against 15.85% (pp. 179, 505); NTA Rs 3,838.83 m against equity Rs 3,923.10 m	Medium	RHP
Peer set quality (two peers with ROE below 4%; one at 16.5x net debt / EBITDA)	Medium	RHP / filings
Pending approvals; civil suit over Rolling Mill 2 land	Medium	RHP / court records
Current price and financials of Fedex's issues; Fedex ownership	Medium	BSE / NSE / MCA

Verification. `verify.py` result is recorded in the pull request. All statement totals reproduce (above). Where the DRHP disagrees with itself (EPS columns on p. 106; ROCE; NTA) the error is in the document, not in the extraction. The Neutral DCF fires the terminal-value guard; the DCF leg is therefore flagged as not reliable and both blended and relative-only results are given. One toolkit change accompanies this note: an optional `k` override for growth capex per rupee of revenue, documented in `FACTS_SCHEMA.md`; other issuers are unaffected.

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